

China Internet

China Internet: The Kimi moment - quick thoughts on the butterfly effects



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Kimi K3 a home run. On Thursday Asia time, Kimi released K3 with 2.8tn total parameters, and 16 active out of 896 total experts per token. The K3 model card claims performance close to Claude Fable 5 and GPT-5.6, while the early public benchmark results have pointed to performance beating one or both in specific tasks (e.g. front-end code). Both online reactions and our own initial use of the model have pointed to impressive reasoning and asset generation capabilities. In-line with our many discussions with Kimi over time, K3 demonstrated a clear emphasis on the aesthetics of deliverables.

Scale is all you need? After DeepSeek V3, and GLM-5.2 earlier this year, K3 represented another instance where the ability of China's top AI labs to keep pace with the US frontier has surprised global investors. Priced at \$3 and \$15 per million input and output tokens (and the customary 90% discount on cache hits), K3 is 40% cheaper than Opus 4.8, and 70% cheaper than Fable. At a high level, K3 feels confirmatory of our views that (1) AI SOTA continues to evolve rapidly; and (2) China AI can continue to keep pace with global SOTA, and take some share over time. But the immediate market reactions to K3 (e.g. China AI labs down, semis down) generally feel sensible.

China open source vs. Anthropic. Mythos was announced in early April, which means the K3 launch (together with GLM-5.2, which came out four months after Opus 4.6) adds weight to the idea of a 3-4 month gap between US and China AI SOTA. Convergence of reasoning capabilities at the frontier is directionally negative for AI model lab terminal margins, and it feels notable that OpenAI and Anthropic have started to engage in a price (rate limit) war of sorts in the last couple of weeks. Looking ahead, it wouldn't surprise us if K3 kicks Anthropic's regulatory-capture-as-a-strategy campaign into overdrive. Online comparisons with the US ban against BYD operating Stateside strike us as... plausible.

Competition among the China labs. We've long considered Kimi and Z.ai (along with Alibaba's Qwen) frontier in China. But Kimi is, at least for now, the clear leader on pre-train scale. The onus will now be on Z.ai to bring its own trillion-parameter model to market. We doubt Dr. Tang at Z.ai meant Kimi when he argued on Twitter/X (in response to Elon Musk) that a Chinese Mythos-class model will come sooner than Q1 2027. Note too the fact K3 is priced at double GLM-5.2 levels means both can remain at the Pareto frontier for model performance by price point (arena.ai currently confirms this for WebDev). "The world is a big place" should continue to apply for both, as far as ARR growth is concerned.

The (mostly indirect) implications for our large cap coverage. Alibaba acquired 36% of Kimi during a Feb 2024 funding round, while Tencent is also a known investor. Beyond equity investment value, which markets have a habit of looking past, greater model layer fragmentation and competition helps give more influence and bargaining power to the large distribution platforms... and users of AI. On the margin, Kimi success is probably a positive for Alicloud revenue growth. The fact Tencent's Workbuddy reportedly now has 8-9mn monthly visits - as the leading desktop agentic harness application in China - feels notable to us as something investors have mostly ignored.

Rearranging our ranking of China SOTA. K3 helps Kimi leapfrog Z.ai as (at least for now) the leading AI lab in China, by virtue of having the model with both the largest pre-training scale, and highest scores on a range of benchmarks we think are instructive (e.g. DeepSWE v1.1, Terminal-Bench v2.1). Alibaba's Qwen rounds out the top three for us, followed by DeepSeek (largely on account of six months lost to helping domestic chip suppliers on hardware compatibility. Z.ai's next pre-train and Alibaba's Apsara cloud conference are probably now the upcoming catalysts to watch in China AI.

One for the distillation debate. Anthropic recently added Z.ai to its list of China AI labs it's accused of illicit distillation attempts. Our base case remains that everyone distills everyone in the industry. Distillation mainly helps to bootstrap post-training (e.g. supervised fine-tuning) rather than determine pre-training scale which Kimi argues - and we agree - is the far greater challenge. Entertainingly, Thinking Machines' debut model Inkling was a rather lukewarm effort where the model documentation indicated use of data generated by Kimi K2.5. Maybe it's only distillation when Anthropic is the purported victim, otherwise it's just sparkling post-training bootstrap.

INVESTMENT IMPLICATIONS

The Kimi K3 launch is directionally additive to our view that the top China AI labs can continue to keep pace with US peers, and become a force globally. The implications for our large cap stock coverage is mostly indirect in nature, but note Alibaba has a large ownership stake in Kimi.

BERNSTEIN TICKER TABLE

16 Jul 2026						TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.								
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E	
700.HK (Tencent)	O	HKD	484.00	780.00	(38.5)%	CNY	28.09	30.00	34.91	14.9	13.9	12.0	
BABA (Alibaba)	O	USD	117.49	180.00	(18.8)%	CNY	65.41	26.82	46.57	12.2	29.7	17.1	
9988.HK (Alibaba)	O	HKD	116.90	176.00	(28.2)%	HKD	8.82	3.69	6.68	11.4	27.4	15.1	
ASIA			1,921.27										
SPX			7,533.77										

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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The main downside risks associated with Tencent include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with its platforms, gaming and advertising demand competition with rival internet platforms, and regulatory risks – for example related to China's anti-monopoly regulations.

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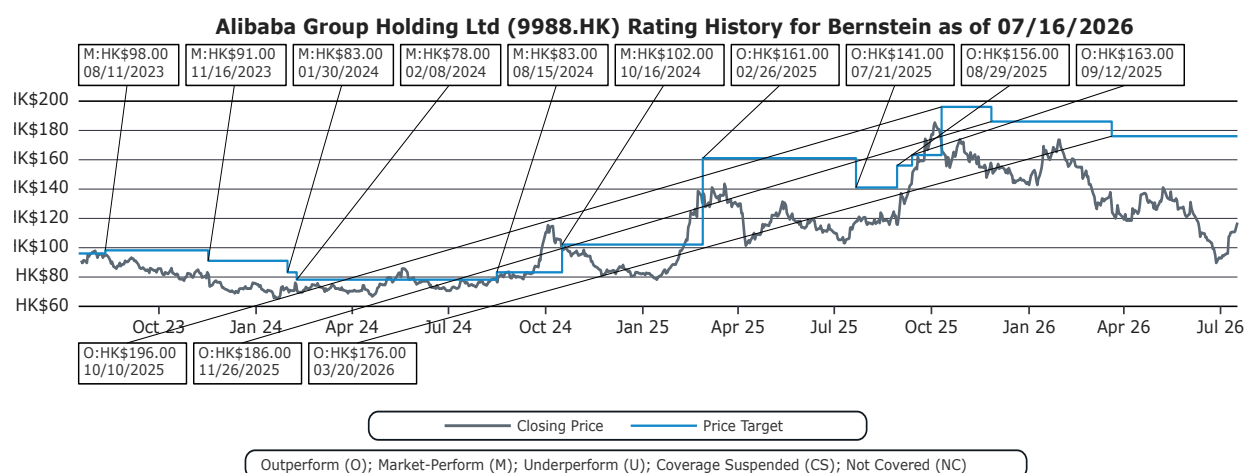
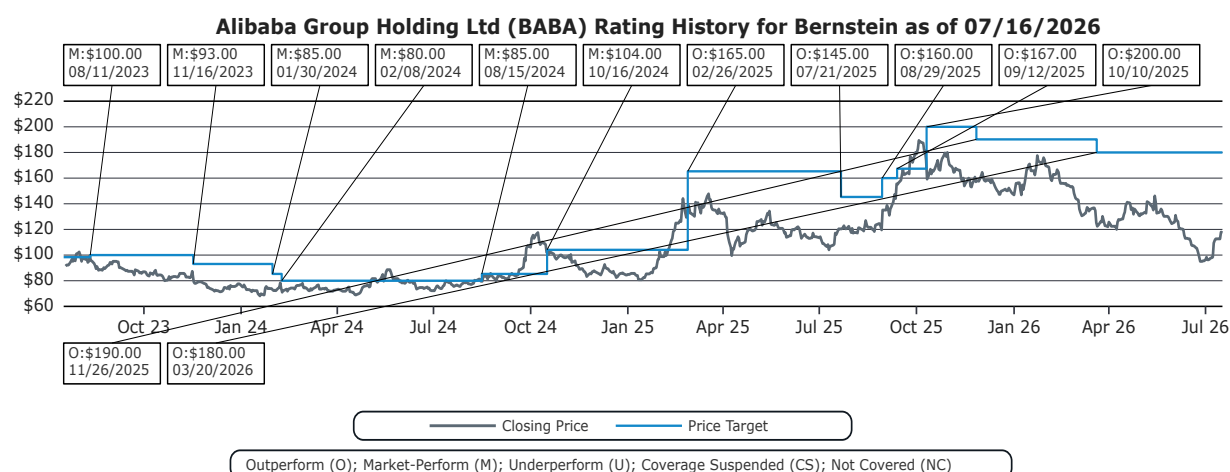
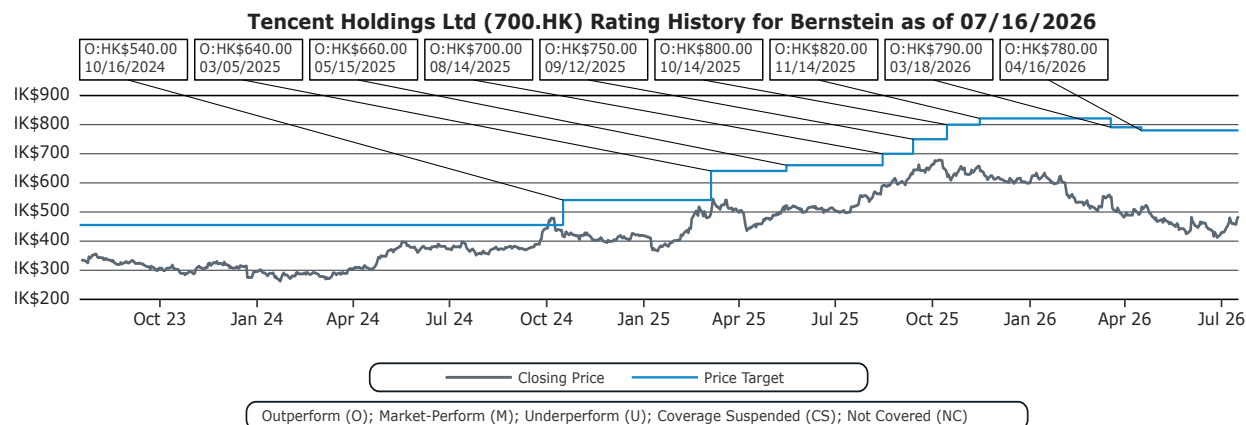
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